Does the company have resources to meet these obligations?

c. Short Term Provisions/CFO

We then move on to short-term provisions as a part of cash flow from operations i.e. short-term provisions/ CFO.

Short term provisions						
Short term provisions/ Total Assets	0.33%	0.30%	0.25%	0.33%	0.34%	0.28%
Payment terms to pay the short term provisions?						
Resources to pay off the short term provisions?						
Short term provisions/CFO	1.34%	1.78%	1.64%	2.34%	1.72%	1.80%

We can see that the company can pay the entire liabilities in any one year from cash flow from operations. We can see that the ratio of Short Term provisions/ CFO is relatively small.

We can see that it is 1.34% in FY 2016, 1.78% in FY 2017, and so on. However, in cases this amount is large, we need to look at the purpose, payment terms, when it is expected, etc.

So, in companies with a larger amount of short-term provisions, it is important to ask the following questions:

How big is the provision?

How will it be repaid?

What do the provisions relate to?

What are the resources to pay off the provisions?